Performance Analysis

Data-driven Consulting Analysis

June 2026

Source: Olist public Dataset - Kaggle

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Executive Summary

● Driven by aggressive acquisition, Olist achieved exponential growth, scaling to $14.27M in revenue across 27 states, with a 138% YoY increase in transaction volume.

— Total annual revenue surged by 141% YoY, proving the market's rapid adoption and the immense power of Olist's initial acquisition engine.

— The platform maintains a robust Average Order Value (AOV) of R$206.93, demonstrating strong purchasing power from the acquired user base.

● While this broad expansion has successfully driven top-line growth, there are critical signs of structural inefficiency and high customer churn

— 2018 data reveals a severe loyalty gap, with 96.95% of buyers failing to return after their first purchase, creating a high-CAC "leaky bucket."

— Volume remains highly fragile and geographically trapped, with over 65% of total revenue heavily clustered in just two states (São Paulo and Rio de Janeiro).

— However, data rules out delivery delays as the root cause, pointing instead to a complete absence of structured post-purchase retention frameworks

● Moving forward, the imperatives for sustainable profitability are pivoting from broad acquisition to targeted customer reactivation and retention

— Olist needs to shift focus toward customer lifecycle marketing, aiming to double the returning-buyer share to 6% within the next 12 months.

— The most high-potential strategies require aligning engagement with proven high-value segments:

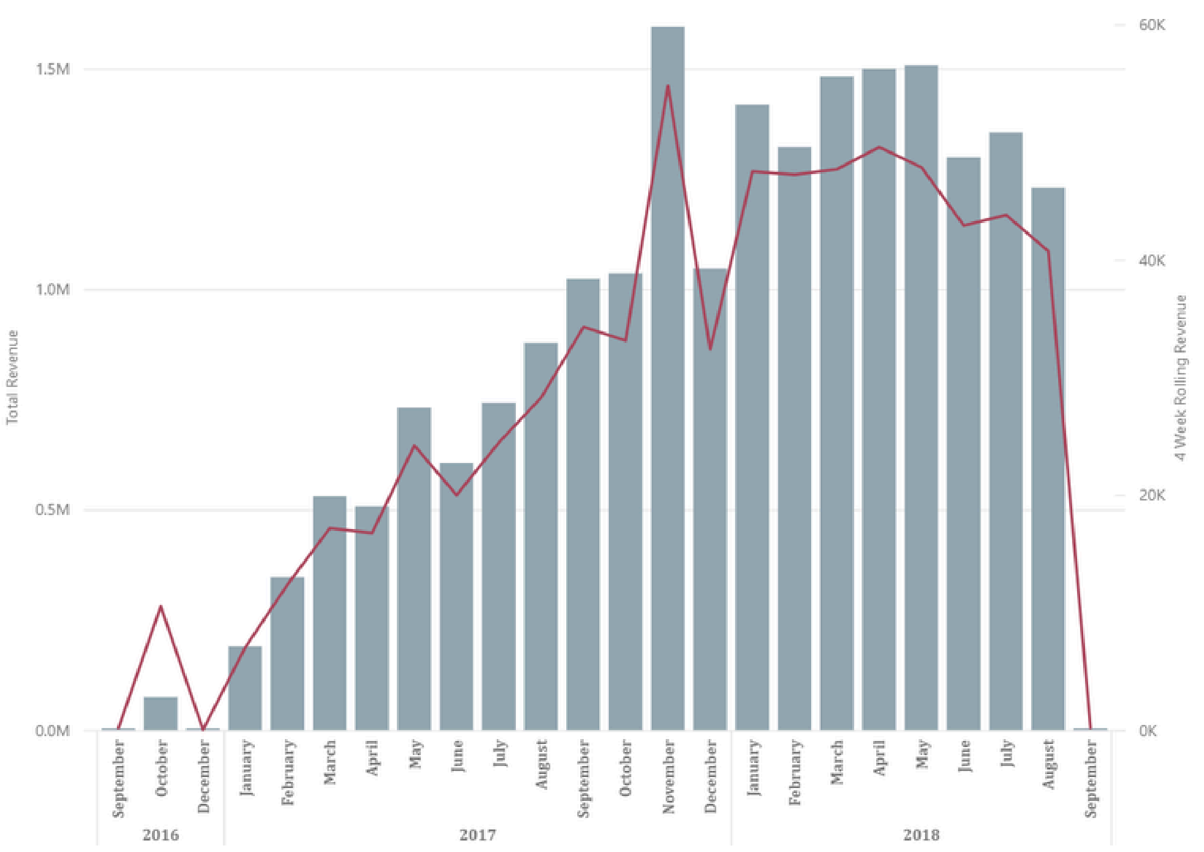
- **RFM Lifecycle:** Deploy automated post-purchase triggers to reactivate 35,000 high-spending at-risk buyers.
- **Financial Perks:** Introduce dedicated loyalty incentives tailored directly to 10× installment plan buyers.
- **Category Plays:** Implement subscription models for Health & Beauty and predictive cross-selling for high-ticket furniture.

— *Key Takeaways*

1) Immediately fund the infrastructure for the RFM lifecycle program to capture at-risk buyers before they permanently churn. 2) Reallocate 15% of the current acquisition budget to retention marketing. 3) Unlock an estimated ~$1.4M in additional GMV over the next fiscal year by securing customer loyalty.

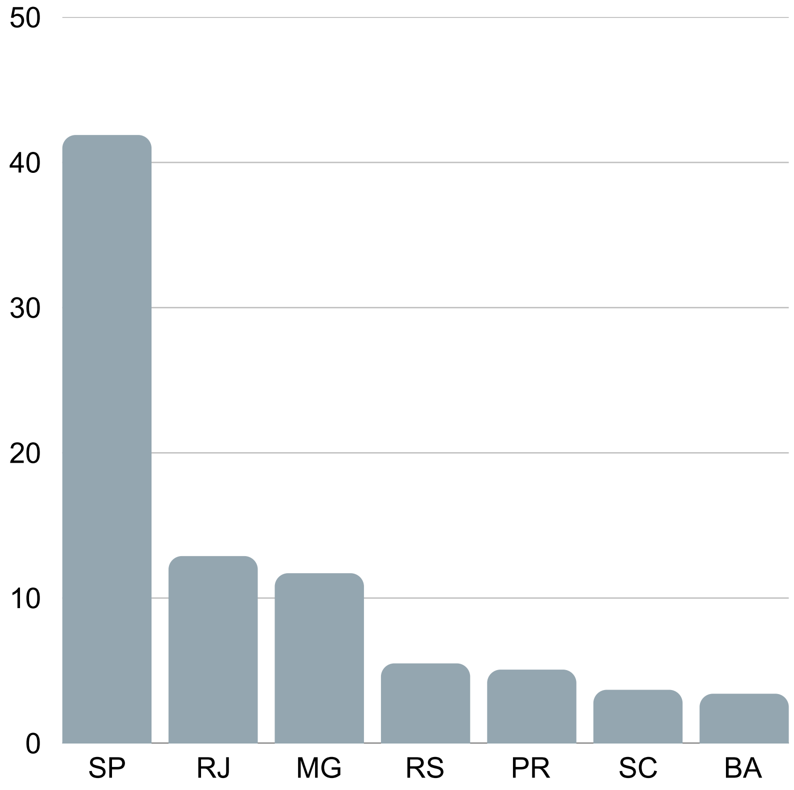
Revenue nearly doubled YoY but growth plateaued in 2018 and is concentrated in one coastal corridor; signalling limits of an acquisition-only model

Monthly Revenue Trend



2018 growth stalled: revenue flattened for 8 consecutive months, signalling acquisition-driven growth has reached its ceiling

%Revenue by States



Revenue is heavily concentrated in São Paulo and Rio de Janeiro, with isolated high-value pockets in select interior states.

Total_Revenue
20.42M
▲ 119.4%

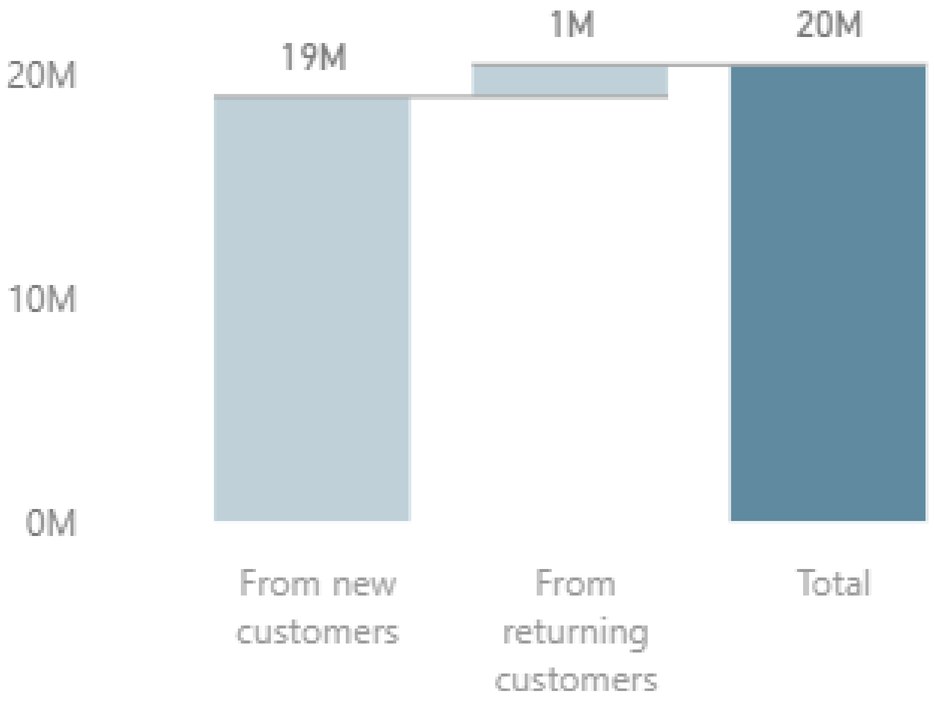
Total Orders
99K
▲ 119.8%

Average Order Value
206.93

States Reached
27

96.95% of customers bought only once: Olist generates $19M from new buyers but only $1M from returning ones, despite returning buyers having 2× the per-customer value

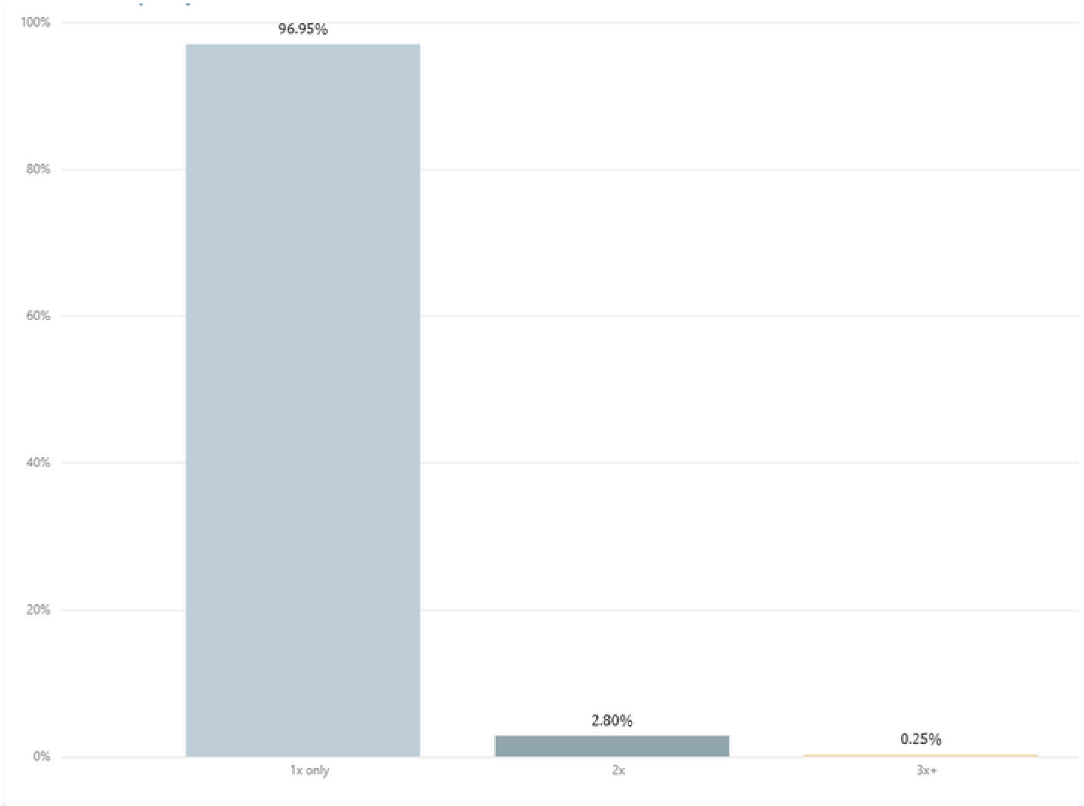
Monthly Revenue Trend



Single Purchase Rate

96.95%

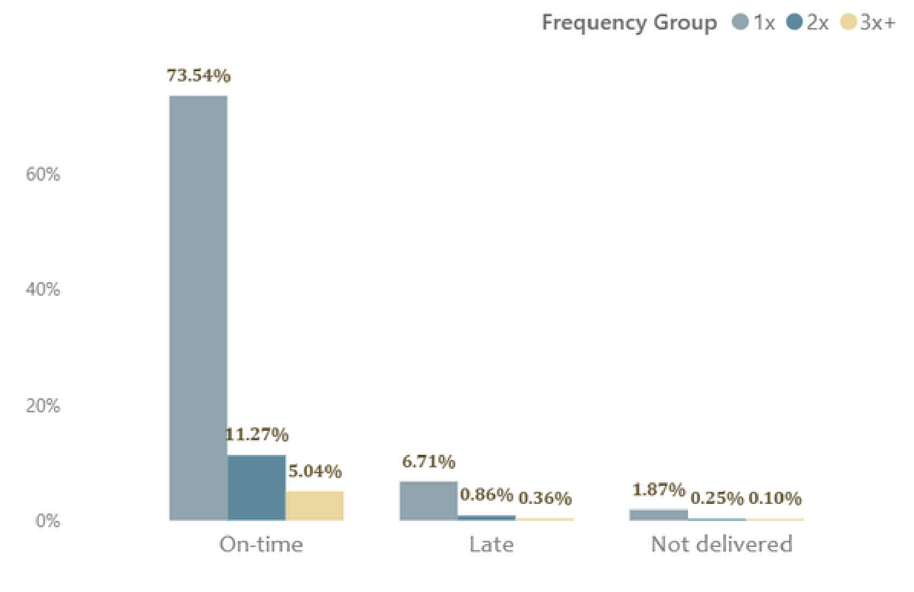
Purchase Frequency Distribution



Returning buyers = 3.05% of customer base yet generate 6.93% of GMV
→ One returning customer generates more than twice revenue than one new customer.

Delivery delays, product value, and geography do not explain churn. The root cause is structural: no post-purchase re-engagement exists

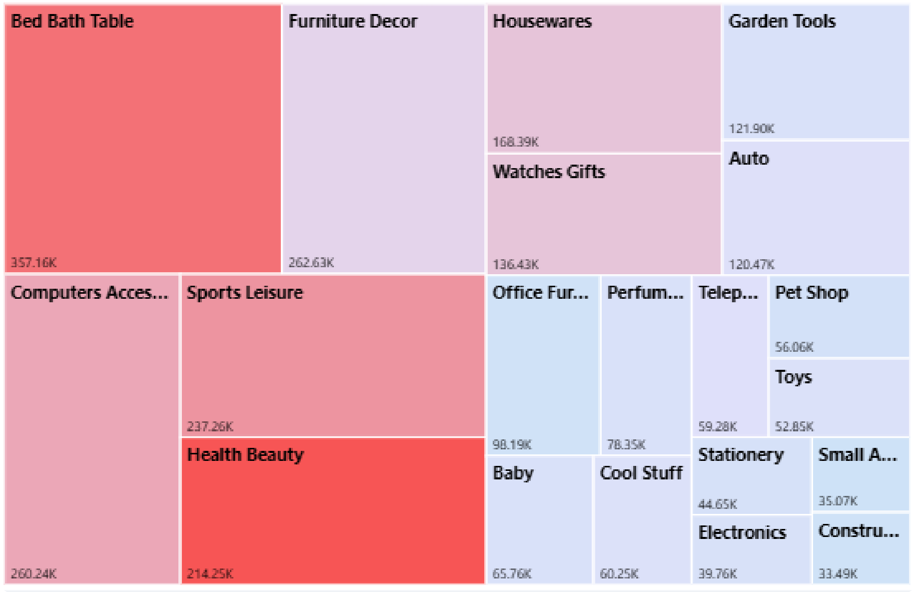
Delivery delays DO NOT cause customers not to return



	segment	n_customers	mean_delay_days	stddev_delay
0	churned	83803	-11.73	10.19
1	returned	12673	-12.82	10.11

73.54% of 1× buyers received on-time delivery, yet never returned. Plus, mean delay churned ≈ mean delay returned
→ ***Performance on delivery is not correlated with churn behavior.***

Product longevity DOES NOT explain single-purchase behavior



Single-purchase rate is equally high in short-lifecycle categories: Health & Beauty and Stationery show the same drop-off pattern as Furniture and Computers. Longevity does not explain the behavior.
→ ***Performance on delivery is not correlated with churn behavior.***

Geographic market gaps DO NOT limit retention in certain states

Single-purchase rate is uniformly high across all 27 states: no state deviates more than 2 standard deviations from the national average.

Retention failure is platform-wide, not regionally concentrated.

→ ***Geography is not a driver.***

All three leading hypotheses are falsified by data. The actual cause is the absence of any post-purchase engagement mechanism, no re-engagement emails, no loyalty programme, no personalised cross-sell trigger exists on the platform

Repeat purchase is predictable: 10× installment buyers and high-ticket lifestyle categories are the two strongest signals available at point of sale

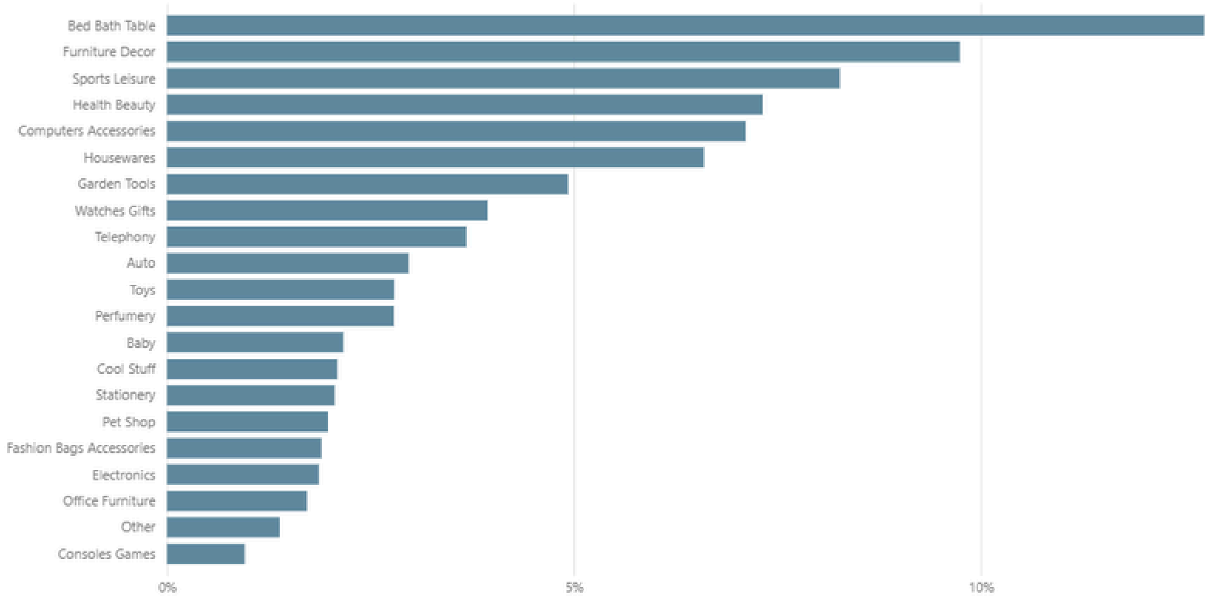
Installment plan: % orders vs. % revenue

PLAN	% ORDERS	% REVENUE	REVENUE : ORDER
1x	58.09%	44.49%	0.77x
2x	13.61%	11.14%	0.82x
3x	11.85%	11.44%	0.97x
10x	**7.85%**	**15.90%**	**2.03x**

10× plan buyers generate 2.79× more revenue per order than 1× buyers, highest LTV signal in the dataset

Top categories with repeat customers

%Orders by each category



Repeat buyers migrate to high-ticket lifestyle categories (Computers, Furniture), not replenishment
→ retention strategy must differ by category type

The trust gap is measurable: only 5,900 of 11,700 new customers ever return enough to reach Champion status — and ~35K customers with proven spend history are at risk of churning before Olist earns their loyalty

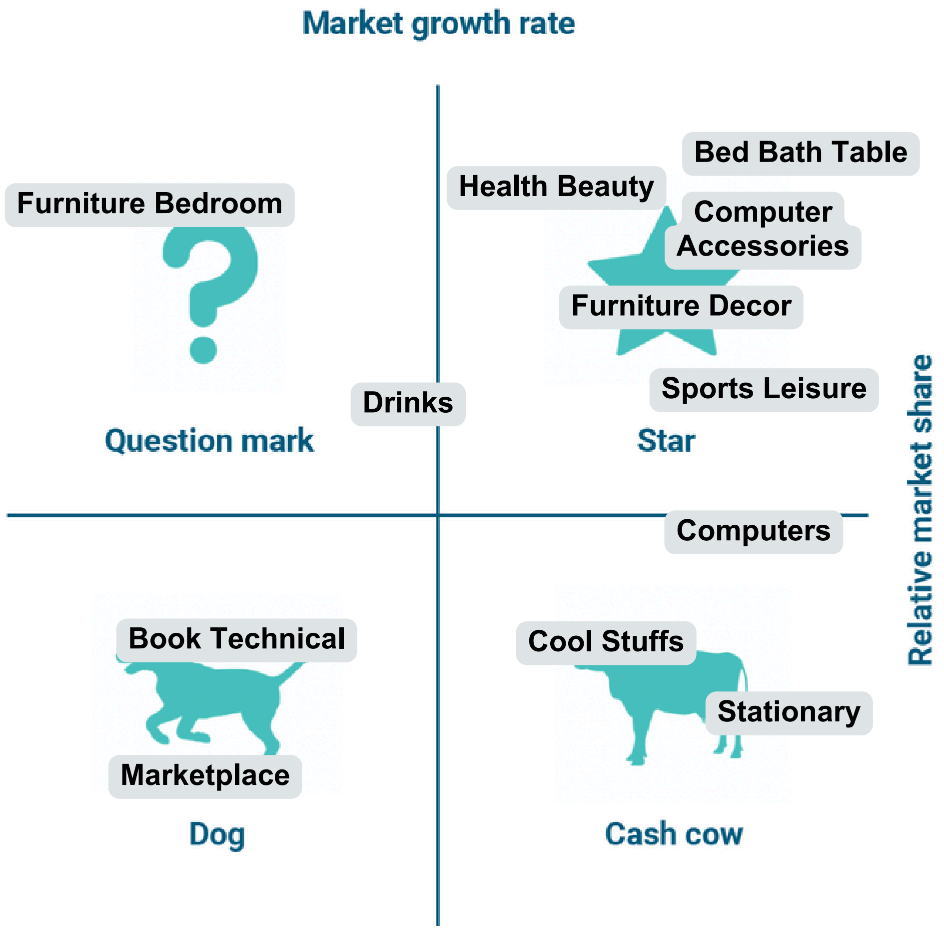
Customer lifecycle funnel (RFM segmentation)

New Customers	**11,700**
Loyal Customers	**17,600**
Champions	**5,900**

Other customer lifecycles with no retention = 58,200

Since Stars (Computers Accessories, Furniture Decor) have both high revenue and high repeat potential, retention investment should be concentrated here first. These are also the categories where a cross-sell and upgrade path yields the highest LTV impact.

BCG portfolio: repeat potential vs. revenue



Key Recommendations

Implement three targeted initiatives to double returning-buyer share from 3% to 6% and unlock ~$1.4M additional GMV within 12 months

Activate post-purchase lifecycle program

● Deploy personalized email and push re-engagement for the ~35K at-risk customers (Cannot Lose Them + At Risk + About-to-Sleep segments) within 30–60 days of first order.

— ***Message sequencing:*** order confirmation → category cross-sell at day 14 → loyalty incentive at day 30. Prioritise top-spending cohorts identified in RFM analysis.

● **Why now:** these customers already trust Olist enough to spend. They need a reason to return, not a reason to buy for the first time.

Build repeat behavior in Star categories first

● Concentrate retention investment in Computers Accessories and Bed Bath Table: the two categories with both high revenue and high repeat potential (BCG Stars).

— ***Introduce upgrade and cross-sell paths:*** a customer who bought a laptop stand is a natural target for peripherals, cables, and storage. Category-specific triggers outperform generic re-engagement by removing the "what to buy next" friction.

● **Why this:** spreading retention effort evenly across all categories dilutes impact. Stars are where LTV compounds fastest.

Deploy category-specific retention plays

● Health & Beauty operates on a natural repurchase cycle of 60–90 days, but Olist currently does not surface this to customers.

— Introduce replenishment reminders and subscription framing for consumable SKUs. This converts a behavioral pattern that already exists in the customer into a platform mechanic that captures it.

● **Why this:** requires product and catalog tagging infrastructure. But it is the only initiative that creates a self-reinforcing retention loop without relying on discounts.

Phase 1: 0-30 days

Quick Wins

● Launch RFM-triggered email re-engagement for At Risk + Promising (35K customers)
● Deploy installment loyalty badge for 10× plan buyers
● Add retention KPI cards to Power BI dashboard

— Target: +0.5% returning-buyer rate

Phase 2: 30-90 days

Build

● Launch Health Beauty subscription / replenishment model
● Build cross-sell path for Computers + Furniture buyers
● A/B test re-engagement offer types by RFM segment

— Target: +1.5% returning-buyer rate

Phase 3: 6-12 months

Scale

● Full loyalty programme infrastructure
● NPS + satisfaction data collection pipeline
● Expand into untapped geographic corridors (Nordeste)

— Target: 6% returning-buyer rate